

Experience

Maybe I was trying to be cute and pretended I could pull a rabbit out of a hat with this trade in Phillips Petroleum (now called ConocoPhillips, COP). [Figure 30.6](#) shows the damage I caused.

The stock made a strong push up to the Adam & Adam double top at AB. The stock confirmed the pattern as valid when it closed below C. That happened at D.

Price behaved itself and slid down to E in a nice strong push before pulling back to F. However, at G, I bought the stock and helped push it higher. Here's my notes for the entry: "16 April 2002. I bought at market, filled at 29.92 [adjusted for stock split]. The book score for the double top is -9, suggesting a weak formation that won't decline more than 12% (the median for AADTs [Adam & Adam double tops]).

"A 12% decline would put the low at 26.74. That could happen as earnings are due out shortly and are expected to be weak. However, it's already been pre-announced, and I believe the stock will recover and return to old highs. I think the worst in refining margins are here now or are already behind us. Also, the ODR (one-day reversal) on 12 April 2002 (E), as far as it appears on my screen, suggests a rebounding stock price as in the February 2002 decline (J). This stock pays a dividend, too, 2.4% at current prices, money markets are at 1.0% now."